

Hithium — Interview Brief (Sales Role, Round 3)

Round 3 — the room, the numbers, the regulatory stack, and what to ask

Prepared 15 August 2026 · **Source** hithium.profile.json, profileVersion 3 (updated 2026-08-09), plus regulatory and biographical research verified 2026-08-15 · **Companion** hithium-lesson-plan.md, which teaches the electrochemistry

Sourcing Every claim traces to the dossier or a verified source; analytical reads are labelled as reads ·

Classification Internal – interview preparation

PRESENTATION STYLE – BloombergNEF Research Report, the canonical Profiler export skin. Facts lead, labelled analysis follows, and the two never blur.

Tuned for: the third-round on-site with **Mizhi Zhang, President of Global Business** — Monday 17 August 2026, 11:30 AM PT, Fremont, California.

Built from `live-site-pages/profiler-data/hithium.profile.json` (profileVersion 3, updated 2026-08-09), supplemented with regulatory and biographical research verified 2026-08-15. Companion to `hithium-lesson-plan.md`, which teaches the underlying electrochemistry — this file is the interview-facing layer: the room, the numbers, the objections, and the questions.

Sourcing discipline. Everything below traces to the dossier or to a source verified on 2026-08-15. Where a claim is an analytical read rather than a sourced fact, this file labels it — asserting an interpretation as fact to the person who runs the business is the fastest way to lose the room.

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The logistics

When	Monday 17 August 2026, 11:30 AM – 12:30 PM PT (60 minutes)
Where	4046 Clipper Ct, Fremont, CA 94538 — Hithium's US office, opened 2023. Room booked: "Muir Woods"
Who	Mizhi Zhang, President of Global Business. A Teams link is attached as backup — assume in-person
Coordinator	Chris Chung, chris.chung@hithium.com, 925-584-8408 (call this number if you have trouble finding the door)
Round	Third. Round 1 was Lewis Lawes at Tonic Talent (agency); round 2 was Rumman Kabir, Director of Sales, on 12 August

One thread is already open. On 12 August you forwarded Rumman Kabir the FCC inverter action. Assume it may have been passed up. That is a good thing — it means you arrive as someone already tracking their regulatory exposure — but it raises the bar: be ready to go a level deeper than the headline. The regulatory stack section below is written for exactly that.

The one sentence

Hithium is a six-year-old Xiamen company that became the world's number-two stationary-storage cell maker by refusing to make anything else, and is now betting that the biggest cell wins — a ladder from 314 Ah to 1,300 Ah aimed squarely at eight-hour storage. **The product is running well ahead of the balance sheet and the politics: three failed listing attempts, subsidy-dependent profit, and a US market that in January made Chinese cells a tax-credit liability rather than a price advantage.**

Who you're meeting — and why this changes everything

Mizhi Zhang is not in the dossier's decisionMakers list, but he is extensively documented elsewhere. The biography below is assembled from aggregator renderings of his LinkedIn profile (RocketReach, ZoomInfo, Equilar, Clay) plus a company interview video. Treat the shape as reliable and the exact titles as approximate — different sources render his current role as "President of Global Business", "Head of Global Business", and "VP Sales & Marketing, Overseas Business". Do not recite his résumé at him; use it to choose what to talk about.

What the record says: 15+ years in renewables. Before Hithium he was **Chief Executive Officer of Sungrow North America**, and before that **Managing Director, Energy Storage Business (Americas) at the Sungrow–Samsung SDI energy-storage joint venture**. He is based in California. Educated at Hefei University of Technology and Dalhousie University. He was publicly associated with Sungrow's battery-system supply agreement with Key Capture Energy — a US IPP deal, not a China-market one.

Five consequences, in order of how much they should change your preparation:

1. **He has already run, and won, the exact playbook you would be hired to execute.** A mainland Chinese energy-hardware company building a North American business from a standing start — he did that at Sungrow, and Sungrow is now ranked **number one globally in Wood Mackenzie's 2026 BESS Integrator ranking** (the first vendor to take that spot from Tesla) and is BloombergNEF's most bankable ESS and PCS brand. **So do not explain the country-**

of-origin objection to him. He has heard every version of it and beaten most of them. The move is to ask him what actually worked.

2. **This is the decision, not a screen.** Recruiter, then sales director, then the president of global business. He is not checking whether you can be trained; he is deciding whether to bet a territory on you. Talk to him the way you would talk to a peer about a business problem — which means having a view, and being willing to be wrong out loud.
3. **He crossed the supply chain in the opposite direction, and that is the most interesting thing about him.** Sungrow sells **power conversion and integrated AC systems**; Hithium sells **cells and DC blocks**. He moved from being one of the largest *buyers* of storage cells to running the global business of one of the largest *sellers* of them. He knows precisely how an integrator's procurement team evaluates a cell vendor — cycle-life warranty exposure, augmentation math, bankability, second-source policy — because that was his side of the table. Speak to him in that vocabulary and you are speaking his first language.
4. **Do not attack Sungrow.** They are a Hithium competitor in C&I cabinets and in the 6+ MWh DC-block class, and the temptation to score a point will be there. He built that business. Compete on the cell, never on the company he came from.
5. **The Sungrow–Samsung SDI joint venture is the tell.** That structure paired Chinese power electronics with Korean cells — one of its practical virtues was a non-Chinese cell origin for buyers who needed one. He has been managing cell-origin problems for a decade, and under the FEOC rules he has now moved to the side of the trade that *is* the problem. *(Labeled read, moderate confidence — but if any single thing is occupying him this quarter, this is the strongest candidate.)*

What he is assessing. Whether you can carry a long, technical, credibility-constrained sale in a market where his product's headline advantage — cost per kilowatt-hour — has been partially neutralized by policy. If you have AIDC or utility-storage pipeline experience, lead with the territory map: which developers, IPPs and integrators hold the decision, who has FEOC-compliant supply locked and who is still scrambling, where interconnection and duration mandates bite. A leader building a North American desk wants someone who arrives with the map, not someone who will spend two quarters drawing it.

The five facts that carry the conversation

FACT	NUMBER	WHY IT MATTERS
They are number two in the world at one thing	Top 2 in both total and utility-scale ESS cell shipments for 2025 (InfoLink/SMM/ICC), behind only CATL	Six years from founding to second place globally, as a pure-play. Cumulative shipments passed 100 GWh in August 2025
The growth is violent	H1 2025 revenue RMB 6.97B, +224.6% ; shipments 30.0 GWh, +252.9%	The last published interim. Gross profit rose more than tenfold; operating cash flow exceeded RMB 1B
Profit is thinner than the headline	FY2024 net profit ~RMB 288–318M included RMB 414M of government subsidies — ex-subsidy roughly a RMB 126M operating loss	The number most candidates will quote as "first profitable year" without reading the footnote
Capital markets have said no three times	A-share attempt withdrawn 2023; two HKEX applications lapsed (Sep 2025, Apr 2026)	FY2025 financials were never published — the second application lapsed before they were filed. There is no public FY2025 income statement to discuss

FACT	NUMBER	WHY IT MATTERS
The US market changed its math in January	FEOC rules effective 1 Jan 2026 — a storage project starting construction in 2026 needs ≥55% non-prohibited-entity equipment cost or loses the entire 30–40% ITC	Section 301 duty on non-EV lithium-ion also stepped 7.5% → 25% on the same date. This is the whole job

Do not assert: (a) any characterization of the **CATL litigation** — see "Where they stand"; know it, do not raise it; (b) **FY2025 financials**, which do not publicly exist — if you cite full-year 2025 performance, cite *shipment rankings*, not revenue; (c) a **precise total tariff percentage**. The Section 301 step from 7.5% to 25% is solid; the stacked total moved again when the Supreme Court struck down the IEEPA tariffs in February 2026, and landed cost turns on HTS classification. Say "the 301 line went to 25% in January and the stack lands somewhere in the high thirties depending on classification" — hedged and correct beats precise and stale.

The 60-second answer to "what do you know about us?"

SAY IT LIKE THIS

"You're a stationary-storage specialist, and that's the whole thesis — founded in 2019 to build cells purpose-designed for grid storage rather than repurposed EV cells, and six years later you're number two in the world in ESS cell shipments behind CATL, with over 100 GWh cumulative. The strategy I find most legible is the cell ladder: 280 to 314, then 587, then the 1175 — the first mass-produced kilo-amp-hour cell, out of Chongqing since June 2025 — and now the 1300 for eight-hour duration in Q4. Bigger cells mean fewer cells, fewer welds, fewer connections per megawatt-hour, and that's what makes a 6.9 megawatt-hour twenty-foot block possible. And you've aimed it at the markets that actually mandate duration, which is why the Australia launch and the Saudi four-gigawatt-hour LDES award with the 1175 both matter more than their megawatt-hours suggest. What I'd want to talk about is North America, because that's where the product advantage and the policy environment are pulling in opposite directions — the Mesquite plant is the answer, and I don't think it's a finished answer yet."

Why it works: it identifies the founding premise correctly (storage-native cells, not EV hand-me-downs), it explains the cell ladder as a *system* argument rather than a spec list, it credits the policy-fit strategy, and it ends by naming the actual problem and inviting him to talk about it — which is what a business president wants to spend the hour on.

Company shape

Founded	December 2019, Xiamen, Fujian — by Wu Zuyu ("Jeff Wu"), a former CATL engineer, first-named inventor on 67 CATL patents
Ownership	Private. Controlled by Wu via Xiamen Haichen Technology Development / Zhuhai Haiheng. Series B ~RMB 2.0B+ (Oct 2022), Series C >RMB 4.5B / ~US\$622M (Jul 2023). Media valuation estimates RMB 25–30B
People	~7,650 (FY2024 company ESG figure); ~10,500 per a third-party estimate, Mar 2026
Scale	2023: >15 GWh, global No. 5 · 2024: 35.1 GWh, No. 3 (~11% share) · 2025: Top 2 in a 612 GWh market that grew 94.6%
Revenue	FY2022 RMB 3.6B → FY2023 RMB 10.2B (+182%, net loss ~RMB 225M) → FY2024 RMB 12.9B (~US\$1.8B, +26%, first net profit, 17.9% gross margin) → H1 2025 RMB 6.97B (+224.6%)

Overseas mix	~1% of revenue in 2023 → 28.6% (RMB 3.7B) in 2024 . H1 2025 overseas gross margin ran ~30.5% per media summaries of the prospectus
Plants	Xiamen (HQ) · Chongqing (the WEF's first energy-storage-battery "Lighthouse Factory" , Jan 2026) · Shandong · Mesquite, Texas (10 GWh/yr module + BESS assembly, first shipments Aug 2025) · Navarre, Spain committed (€400M cell + BESS, €81M Spanish grant, ~700 jobs, target 2027)

The shape of the business in one line: a dual model — merchant cell vendor selling to integrators (NHOA, Risen, formerly Powin) *and* vertically integrated system supplier selling its own ∞Block/∞Power DC blocks direct to developers and EPCs. That duality is a strategic strength and a channel-conflict question at the same time, and it is one of the best things you can ask him about.

The overseas mix is the number to internalize. Going from 1% to 28.6% of revenue overseas in a single year, at roughly double the domestic gross margin, is the reason the international organization exists and the reason this role exists. Everything about the job flows from that line.

The North America picture — the actual job

The single most important nuance

This is not a greenfield territory, and saying so is a mistake. Hithium already has a US plant shipping since August 2025, US-relevant reference customers in its own prospectus — **Jupiter Power, Lightsource bp, Samsung C&T** — and full UL 1973 / UL 9540 / UL 9540A / NFPA 855 certification on its systems. The honest framing of this job is not "build the first reference win." It is **"scale a book that already exists into a market that turned hostile in January"** — because the FEOC rules and the Section 301 step both landed on 1 January 2026, and together they attacked the exact thing Chinese cells compete on.

Getting this distinction right is worth real credibility. A candidate who walks in saying "I'd build your first US win" has not read the record. A candidate who says "your problem isn't awareness, it's that a developer's tax counsel can now veto your cells" has.

What you have to sell with

ASSET	WHY IT MATTERS COMMERCIALY
Mesquite, Texas	~484,000 sq ft, 10 GWh/yr nameplate, first shipments Aug 2025, ~141 jobs. Module and full-BESS assembly — not cell production. Read the limit precisely: it shortens lead times, gives US-soil support and service, and changes the tariff classification story, but it does not by itself make the product FEOC-clean, because the cells still come from China
The kAh-class monopoly	The 1175 Ah is the only mass-produced kilo-amp-hour cell in the world, in production at Chongqing since June 2025. The 1300 Ah follows in Q4 2026. Nobody else is here — this is the one claim no competitor can price against
Cycle life, translated into money	314 Ah at ≥13,000 cycles; 587 Ah and 1175 Ah at ≥11,000. To a developer this is not a spec, it is augmentation capex avoided and a warranty-reserve line item — the language Mizhi's old procurement teams used
Eight-hour-native product	The ∞Power 6.9 MWh is designed for 8 hours rather than a 4-hour product stretched. Aimed at the jurisdictions that mandate duration — NSW alone targets 28 GWh by 2033

ASSET	WHY IT MATTERS COMMERCIALY
Certification and code compliance already done	UL 1973, UL 9540, UL 9540A, NFPA 855, IEC 62619/62477/63056. In US utility procurement, missing certifications are a hard stop, and Hithium does not have that problem
Scale as bankability	Top 2 globally in 2025 ESS cell shipments, >100 GWh cumulative, 35.1 GWh in 2024 alone. Lenders and insurers price vendor longevity; this is the counterweight to the private-company objection
Flexsso	10-ft factory-assembled modules under 26 t, ~423 kWh/m ² . A niche-but-real answer for transport- and crane-constrained sites, and a differentiator nobody asks for until they need it

How cycle life converts into money

The cycle-life row above is the one asset in the table that a candidate can state and still fail to sell, because "13,000 cycles" is a spec and specs do not move buying decisions. **What moves them is a number in the owner's financial model.** Cycle life produces two, and you should be able to name both. Mizhi Zhang ran the side of the table that consumes these numbers, so this is the one place in the conversation where speaking the buyer's language will be unmistakable.

The mechanism: a flat obligation against a decaying asset. A project sells its output on a fixed promise — 100 MW for four hours, every day, for twenty years. That promise does not decay; the cells do, from both cycling and calendar aging. LFP typically retains **70–80% of original capacity after ten years** of daily cycling, and supplier warranties conventionally guarantee **70% retained at year ten** or at a stated number of equivalent full cycles. So the owner has exactly two ways to keep meeting a flat obligation:

1. **Oversize on day one** — installing **15–20% more capacity than the obligation requires is standard practice.** You pay up front for cells you will not need for a decade
2. **Augment later** — install near nameplate, then add racks or containers in tranches (typically years six to ten, and again later) to restore rated capacity. You defer the cost, and you accept a retrofit on a live, energized site

Most models blend the two, and either way **lifetime capex is a function of the warranted degradation curve** — which is what cycle life proxies for. Lazard-style methodology carries augmentation at roughly **3% of ESS equipment cost per year** as a standing reserve, so this is not a rounding error in the model. A better curve pushes the first tranche out by years and can eliminate one inside the contract term; deferral alone is worth real money once discounted at the owner's cost of capital. **That is "augmentation capex avoided" — a dated, quantified line the customer's analyst already has in a spreadsheet, and which your cell moves.**

Two traps, both of which he will know:

- **A cycle count is not a degradation curve.** "≥13,000 cycles" is a rating to a retention threshold, measured at a stated temperature, depth of discharge and C-rate. What a model actually consumes is the **year-by-year guaranteed capacity table** plus the conditions it was measured under — a big headline number taken at a gentle 0.25C and 25 °C delivers nothing on a project that runs harder and hotter. The sharp industry formulation: a vendor who will not show guaranteed end-of-year capacity out to year fifteen is hiding the augmentation cost in the *developer's* future rather than its own. **Ask for that table before the customer does**
- **Cycles beyond what the duty cycle consumes are worth zero.** 13,000 cycles at one per day is ~35 years; on a twenty-year daily-cycling project everything past ~7,300 is free and useless. This is why the 314 Ah's 13,000 is *not* automatically better than the 587 Ah's 11,000. The headroom converts to money only under **high-throughput duty** — frequency regulation, multiple cycles a day, aggressive merchant dispatch. Which makes **"what's your expected**

annual throughput — cycles per year, not cycles total?" a real qualifying question, because the answer tells you whether cycle life is your lead argument for that account or an irrelevance

The second number, and the harder one: the warranty reserve. This cuts both ways. On the **seller's** side, a multi-year performance warranty requires booking a warranty provision — an estimated future liability — at the time of sale, as a charge against gross margin; a better cell means provisioning less per MWh sold. On the **buyer's** side, a warranty is a promise from a counterparty, so lenders and independent engineers will **discount or entirely disregard** warranty value from a supplier they judge unlikely to survive the term, then require mitigants — parent guarantee, letter of credit, escrowed funds, third-party warranty insurance — each of which costs money and appears as a line item.

Why the two halves are really one argument. Hithium's cell is genuinely strong on the first number. But Hithium is private, has failed to list three times, and never published FY2025 financials — so an independent engineer can haircut the warranty **regardless of how good the cell is**, at which point the degradation advantage never reaches the model, because the model will not credit a promise it does not believe. **The cell is the product; the warranty's credibility is the constraint on selling it.** That is why the objection table pairs cycle life with the warranty-backstop question, and why asking him whether there is an insurance wrapper or only a balance sheet is on the question list.

The speakable version:

SAY IT LIKE THIS

"I'd sell cycle life as two numbers in their model rather than as a spec. First, augmentation — their obligation is flat and the asset decays, so they're either oversizing on day one or buying tranches around years six and eleven, and Lazard-style models carry that at roughly three percent of equipment cost a year. A better warranted curve moves those out and can drop one entirely. Second, the warranty reserve — and I'd be honest that this one isn't about the cell. An IE will haircut a warranty from a private supplier that hasn't published a full year of financials, and if they do, my degradation advantage never reaches the model. So what we can put behind the warranty is the thing standing between a good cell and a financeable one."

One connection worth raising as a question, not a claim. Augmentation and the FEOC regime intersect: cells added years after a project is placed in service are new equipment bought under whatever rules apply then, so a build safe-harboured in 2025 may not get the same treatment for a 2032 tranche. If that holds, it makes the cycle-life advantage *more* valuable than it looks — fewer augmentation events means fewer future compliance exposures for the owner. **This is my inference, not a sourced ruling** (commentary notes augmentation can jeopardize ITC treatment; nothing found rules on augmentation under material assistance specifically). Raise it as a question for his tax advisers and it lands as sophistication; assert it as fact and it is exactly the overclaim this brief warns against.

The sales motion you would run

Per the dossier, DC blocks go **direct to developers, EPCs and IPPs** with the buyer or a partner supplying PCS and EMS integration; cells go **merchant to integrators**; long-term O&M attaches on flagship projects. In practice:

- **You are selling two different products to two different buying centres.** A merchant cell sale is a component qualification with an integrator's engineering team. A DC-block sale is a project-level negotiation with a developer. They have different cycles, different competitors, and — critically — the DC-block business competes with some of the same integrators that buy the cells
- **The real gatekeeper is not procurement. It is tax counsel and the tax-equity investor.** Under FEOC, a non-compliant supply decision does not cost the developer a few points of margin — it can void a 30–40% ITC on the whole project. That means your deal can be killed by someone you have never met, on grounds an engineer cannot

override. **Getting to that person early, with documentation, is the job.** This is the single most important sentence in this brief

- **Bankability is a third-party process, not a claim.** Insurers, lenders and independent engineers maintain their own vendor views. Cycle-life and safety test data, UL certification, and financial-stability evidence are what move it, and none of it moves in a single meeting
- **Merchant cell customers can vanish.** Powin was a Hithium cell customer and went bankrupt in 2025. Concentration in the merchant channel is a real risk to acknowledge if it comes up, not to hide

The honest read on the strategy

(Labeled analysis — the dossier's `strategyRead` carries the first three at high-to-moderate confidence; the fourth is mine.)

1. Top-tier scale as a stationary-only specialist is secured — second only to CATL
2. The cell ladder feeding 6+ MWh blocks, with 8-hour-native LDES as the differentiated tier, is a deliberate **policy fit** — duration-mandating markets are the target
3. Texas and Spain are meant to insulate the order book against tariff and content rules; the €400M Spain commitment with a 2027 target is the pacing item
4. **Financing capacity, not demand, is the constraint** — three failed listings against a capex-heavy expansion. My addition: Spain and any US cell capacity are precisely the projects that a listing was meant to fund, so the financing constraint and the FEOC problem are the *same* problem viewed from two ends

The regulatory stack — three rules, three different exposures

This is the section to know cold. Three separate US actions hit this company differently, and most candidates will blur them into "tariffs and China stuff." Keeping them distinct — and knowing which one actually bites — is the strongest single thing you can demonstrate.

1. FEOC / Prohibited Foreign Entity rules — the existential one

Enacted 4 July 2025 in the One Big Beautiful Bill Act; effective for facilities **beginning construction in 2026 or later**; Treasury/IRS guidance in **Notice 2026-15** (February 2026).

MECHANISM	WHAT IT MEANS
Material Assistance Cost Ratio (MACR)	$(A - B) \div A$, where A is direct cost of all project equipment and B is the direct cost of equipment supplied by prohibited foreign entities. Storage projects starting construction in 2026 must clear $\geq 55\%$ non-PFE , rising to $\geq 75\%$ for 2030+ starts
The penalty	Failing the ratio forfeits the entire 30–40% ITC — not a haircut, the whole credit
Why storage is the hardest case	Cells are the largest single cost line in a BESS project and are overwhelmingly Chinese. DOE's supply-chain work found 90–100% of US BESS systems contain at least one Chinese-sourced component, and ~65% of global Tier-1 BESS vendors are Chinese-headquartered
The trap	US assembly does not automatically cure it. Trade press in February 2026 ran the point explicitly — "Made in the USA" batteries might still fail FEOC. Where the box was screwed together matters less than who supplied the value inside it

How to talk about it: as the central commercial fact of the role, and as a question rather than a solved problem.

SAY IT LIKE THIS

"The way I read the market since January is that it split into two tiers — FEOC-compliant supply now carries a premium and unlocks the domestic-content adder, and non-compliant supply is cheaper but can cost the developer the whole credit. That inverts the usual pitch: I wouldn't be selling on price, I'd be selling on whether a project can be financed. Which is why I'd want to understand where Mesquite actually lands in a material-assistance calculation today, and what the plan is for cell production on US soil — because that's the difference between competing for the whole market and competing for the slice that isn't chasing the ITC."

Where to hedge, hard. I could not find a source that definitively rules on how a Chinese-controlled manufacturer's US-assembled product is treated in the MACR, and the answer likely turns on facility-specific facts and on structure. **Say "my read", never "the rule says."** If pushed, the correct answer is that this is a question for tax counsel and the developer's tax-equity investor, not for a salesperson — and that answer is a strength, not a dodge. The industry's emerging workaround is **structural**: joint ventures and licensing arrangements in which a non-prohibited US entity owns the production (the NeoVolta / Potis Edge / Longi arrangement in Georgia is the example the trade press cites). Note the bind that creates for Hithium — **its Reliance Industries technology-licensing deal collapsed in January 2026 because Beijing tightened export controls on battery technology transfer.** So the very structure that would solve the Washington problem is currently constrained from the Beijing end. If you can say that sentence cleanly, you will be the most informed candidate he sees this month.

2. Tariffs — the priced-in one

LAYER	STATUS
Section 301, non-EV lithium-ion	Stepped 7.5% → 25% effective 1 January 2026. This is the solid, citable number
Section 301, natural graphite	0% → 25% on the same date — an anode input, so it compounds upstream
IEEPA tariffs	Struck down by the Supreme Court on 20 February 2026 , replaced in the live stack by a flat 10% Section 122 surcharge
MFN base	~3.4% on the relevant lithium-ion headings

Net: the stack lands in the **high thirties** as a percentage today, subject to HTS classification — and it moved twice this year. **Do not quote a single precise total.** Say the 301 line doubled-plus in January, note the February Supreme Court ruling reshuffled the rest, and observe that the practical consequence is that landed-cost arbitrage is no longer the sales argument — which is exactly why Mesquite exists.

3. The FCC covered-list action — the one that mostly misses them

On **28 July 2026** the FCC added **foreign-produced connected power inverters** (and advanced robotic devices) to its Covered List, effective immediately. Covered-List products cannot receive FCC equipment authorization, which bars importing, marketing or selling them in the US.

It is a two-part test — both prongs must be met:

PRONG	WHAT IT SAYS
Conversion	A bi-directional device or system converting DC → AC or AC → DC, enumerated as microinverters, string inverters, central inverters, and hybrid (battery-based) inverters

PRONG

WHAT IT SAYS

Connectivity Contains components enabling remote communication, control, sensing, data collection or monitoring via **Wi-Fi, cellular, Bluetooth or other similar connections**

Three things almost everyone gets wrong: **it is not a China rule** — "foreign-produced" means failing the Buy America threshold of 65% US content by value, so an American brand manufacturing offshore is caught too; **it is prospective only** — models authorized before 28 July keep their authorization and can still be produced, imported and sold; and **there is a conditional-approval path** out.

Where Hithium actually sits:

PRODUCT LINE	EXPOSURE	REASONING
Utility DC blocks (∞Block, ∞Power, Flexsso)	Probably out	These ship as DC blocks — the buyer or a partner supplies the PCS. No inverter in the scope of supply means the conversion prong is not met on a plain reading
Residential and portable (HeroEE LIGHT 1, HeroEE MaxPower 8 AIO, ARKVOLT L16/L16S)	Genuinely exposed	These are hybrid/battery-based units with integrated inverters and MPPT, and consumer products carry wireless connectivity as standard. Both prongs plausibly met — but this is a small adjacency, not the core business
Cells	Out	Not conversion devices

The observation that will land — and it is about his old company:

SAY IT LIKE THIS

"My read is this one mostly misses the core business, because a DC block isn't an inverter — the PCS comes from someone else, so the conversion prong isn't met on a plain reading. Where it bites is the residential line, which is a small piece. But the more interesting effect is second-order: the vendors squarely inside this rule are the PCS and inverter companies, and every project we sell a DC block into needs a PCS from one of them. So our customers' inverter choices just got constrained, and their authorization timelines with them. I'd rather bring that to a developer as something we're tracking for them than have them discover it in a schedule slip."

Say "my read", not "the rule says." No source found addresses DC-block-without-PCS supply directly; the read above is inference from the published definition. Two further variables turn on non-public facts: whether any specific Hithium SKU carries a wireless module, and where each is manufactured.

And notice the asymmetry, but do not gloat about it. FEOC hurts Hithium considerably more than the FCC action does. The FCC action hurts inverter and PCS vendors — the business Mizhi Zhang came from — considerably more than it hurts Hithium. Stating that cleanly and neutrally shows range. Stating it with a smile does not.

The five objections you would carry into every meeting

A sales interview is an audition for objection handling, and with a business president it is *the* audition. The strongest move is to raise these yourself, unprompted, and show you already have answers.

WHAT THEY SAY	WHAT THEY'RE REALLY ASKING	HOW YOU ANSWER
"Your cells could cost me the ITC."	Will my tax counsel kill this in month five and waste my qualification?	Never promise a tax outcome. Answer with process: bring the bill of materials and cost documentation early, get their tax counsel and tax-equity investor into the conversation <i>before</i> qualification rather than after, and be straight about where the boundary is. Then reframe the addressable market — projects that began construction in 2025 or earlier are outside the material-assistance rules entirely , which makes augmentation, expansion and safe-harbored pipelines a large, legitimate, ITC-safe pool. And merchant or behind-the-meter projects that aren't chasing the credit price on cost, where you win
"You're private, you've failed to list three times — will you be here to honour a 20-year warranty?"	Am I buying a warranty from a company that might not exist?	Take the real question head-on: a warranty is only as good as the balance sheet behind it, so talk about warranty backstops and insurance wrappers , which is what sophisticated buyers actually want. Then the evidence of durability: Top 2 globally in 2025 shipments, >100 GWh cumulative, H1 2025 revenue +224.6% with operating cash flow over RMB 1B, Series B and C raises totalling ~RMB 6.5B+. The listing attempts are public and disclosed — do not spin them
"CATL says you copied their cell."	Is there legal risk attached to my supply?	Do not raise this yourself. If raised: it is active litigation, the company does not comment on it, and it is disclosed in the prospectus filings. Then redirect to what a buyer can actually verify — UL 1973, UL 9540, UL 9540A certification and delivered GWh in the field. One calm sentence, then move
"Kilo-amp-hour cells are a bigger bet than I want to take."	More energy per cell means a worse failure, and there's less field history.	Concede the logic, then invert it: fewer cells per megawatt-hour means fewer welds, fewer busbar connections, fewer sensing points — fewer things to fail . The 1022 kWh C&I cabinet cuts cell count ~70%. Then the evidence: the 1175 Ah holds UL 1973 and UL 9540A (June 2025), both the 587 and the 1175 are already in GWh-scale installations, and Intertek CEA's July 2026 work projects 587-class cells driving system cost declines through 2027. Offer a limited first tranche rather than arguing them out of the concern
"Why you instead of CATL?"	Why take the number two?	Never attack CATL — he knows them better than you do, and Hithium's founder came from there. Three arguments together. Structural focus: as a stationary-only maker there is no EV-cell allocation conflict, so storage never queues behind an automotive program — a diversified rival cannot make that promise. The kAh tier: nobody else mass-produces above 1,000 Ah, so at 8-hour duration there is no like-for-like alternative. Second-source policy: every large buyer runs one. Then be candid — CATL's 587 leads on volumetric density (430–434 Wh/L), round-trip efficiency (96.5%) and cycle rating (≥12,000). This is a wedge, not a coronation

The line that ties it together: "The way I'd run this territory is to stop selling cost per kilowatt-hour, because since January that isn't the argument. I'd sell financeability and duration — get to the tax counsel early with real documentation, be honest about where the compliance line sits, and go hard at the two places where we're genuinely unmatched: eight-hour projects and anything already safe-harboured."

What they make — the cell ladder is the strategy

You are not being hired to design cells. You are being hired to sell them to people who evaluate them for a living. The bar is being credible with an engineer for twenty minutes — and the good news is that Hithium's catalogue has an unusually clean logic: **one ladder of ever-larger cells, feeding one ladder of ever-larger boxes.**

The cells

CELL	KEY SPECS	WHAT TO KNOW
280 Ah	≥7,000 cycles · ≥159.2 Wh/kg · ≥341.4 Wh/L	First-generation format, still catalogued. Legacy
314 Ah	≥ 13,000 cycles · ≥173.2 Wh/kg · ≥382.6 Wh/L	The volume workhorse and still the industry's mainstream format. Note it has the highest cycle rating in the range — bigger is not automatically better
587 Ah	≥11,000 cycles · ≈185 Wh/kg · ≈413 Wh/L · 94.5% efficiency	Mass production and first deliveries from Xiamen since 2025. Derived from the 1175 platform , not a scaled-up 314. Powers the ∞Power 6.25 MWh 2h
650 Ah	Not yet published	Debuted at SNEC 2026; deliveries expected 2027
1175 Ah	≥11,000 cycles · ≥180 Wh/kg · ≥400 Wh/L · 580 × 75 × 216 mm	The world's first mass-produced kilo-amp-hour cell — Chongqing, from June 2025. UL 1973, UL 9540A, IEC 62619, UN 38.3. ~3.76 kWh in one can. This is the crown jewel
1300 Ah	≥10,000 cycles · ≥190 Wh/kg · ≥406 Wh/L · design life >25 years	Purpose-built for 8-hour duration. Designed backwards from 20-ft container dimensions, international transport limits and a 1,500 V DC architecture. Mass delivery targeted Q4 2026
N162 Ah (sodium-ion)	≥20,000 cycles · ≥95.2 Wh/kg · -40 °C to 60 °C · 94% efficiency	NFPP cathode / hard-carbon anode, 2.82 V. Billed as the first sodium cell purpose-designed for utility storage. A hedge, not a volume business — energy density is roughly half the 314 Ah

The sentence that shows you get it: "The reason the cell ladder matters isn't energy density — the 314 actually has the best cycle rating in the range. It's that a megawatt-hour built from 1,175 amp-hour cells needs a fraction of the cells, which means a fraction of the welds, busbar connections and sensing channels. That's fewer failure points, less assembly labour, and it's what makes a 6.9 megawatt-hour twenty-foot container physically possible. The cell is a manufacturing and reliability argument disguised as a spec sheet."

The systems

SYSTEM	CONFIGURATION	WHAT TO KNOW
∞Block 4.180 / 5.016 MWh	314 Ah, 20-ft, liquid-cooled	The mainstream utility DC block. Selected for Statkraft's Montes de Cierzo wind-farm BESS in Navarre (6 units, 30.1 MWh, Jul 2026)
∞Power 6.25 MWh	2h on 587 Ah · 4h on 1175 Ah, 20-ft	Launched Apr 2025, mass production H2 2025. The volume export product — 21 units went to Turbo Energy's European industrial sites
∞Power 6.9 MWh	1300 Ah · 4×1P416S · 1,331 V DC · IP66	8-hour-native . 55.2 MWh per 8-unit block. Mass delivery Q4 2026. The differentiated tier
∞Power 10+ MWh	Not yet detailed	Unveiled at SNEC 2026; expected with the 650 Ah cell from 2027
∞Power Flexsso	10-ft modules, <26 t, 3.125 / 6.25 MWh	~423 kWh/m², ≥95% DC round-trip. Transport-optimized — first deliveries Q2 2026, and marketed as fully aligned with the EU Battery Regulation
"Desert Eagle"	Hardened variant	-30 °C to 60 °C, multi-layer insulation, sandstorm sealing. Built for the Gulf projects
C&I cabinets	∞Block 261 / 418 kWh (314 Ah) · ∞Power 1022 kWh (1175 Ah)	The large-cell architecture pushed down into C&I — 3.4 m² footprint, ~70% fewer cells

SYSTEM	CONFIGURATION	WHAT TO KNOW
Residential / portable	HeroEE 1 / LIGHT 1 / 2 / MaxPower 8 AIO · HeroEE 16 · ARKVOLT L16 / L16S	A small adjacency demonstrating cell versatility. Also the only part of the catalogue meaningfully exposed to the FCC action

Where they stand

The 2025 market grew **94.6% to 612.39 GWh** of ESS cell shipments and flipped from glut to tightness. That is the backdrop for everything — this is not a share fight in a flat market.

The cell makers

PLAYER	POSITION	WHAT TO KNOW
CATL	No. 1	The benchmark, and the litigant. Its 587 Ah claims ≥12,000 cycles, 430–434 Wh/L, 96.5% round-trip — ahead of Hithium's on volumetric density, efficiency and cycle rating. TENER / EnerX systems. Diversified across EV and storage
EVE Energy	Top 3	Was ahead of Hithium in 2024 (Hithium No. 3, ~11%). Its 628 Ah "Mr. Big" leads on gravimetric density (193.3 Wh/kg, 386 Wh/L)
BYD	Top tier	MC Cube systems; by some rankings the largest 2025 deployer. Diversified, with the same EV-allocation tension as CATL
Hithium	Top 2 in 2025	Only mass producer above 1,000 Ah. Competes on cycle life, the kAh tier, LDES-native design, and the absence of EV allocation conflict

The layer above — and the real competitive threat

System integrators are simultaneously Hithium's competitors and its potential customers, and this is the most commercially interesting thing on the board:

- **Sungrow** — ranked **No. 1 in Wood Mackenzie's 2026 Global BESS Integrator ranking**, the first vendor to displace Tesla, and BloombergNEF's most bankable ESS and PCS brand. Competes with Hithium in C&I cabinets and the DC-block class. **Mizhi Zhang built its North American business**. Handle with respect
- **Tesla** — Megapack 3 and the 20 MWh Megablock, **US-manufactured from late 2026**. This, not CATL, is the sharpest threat to Hithium's US book: a domestically manufactured integrated product that clears the FEOC math without any structural gymnastics. If you name one competitor you are worried about, name this one
- **Fluence, and the merchant-cell channel generally** — integrators that buy cells are Hithium's other customer class. Note the fragility: **Powin was a Hithium cell customer and went bankrupt in 2025**

The strategic argument (labeled analysis — my read, not company guidance): the case for a stationary-only specialist is that storage never queues behind an automotive program. Every diversified rival allocates capacity between EV and ESS, and when EV demand spikes, storage customers find out what priority they really had. Hithium's structural pitch is that it has no other business to be second to. Present it as "the way I read the structural argument...", never as something Hithium said.

The CATL litigation — know it, do not raise it

CATL sued Hithium and eight defendants including founder **Wu Zuyu** in June 2025 for unfair competition, initially claiming CNY 150M, alleging systematic poaching of technical personnel and that the 587 Ah cell's specifications closely track CATL's patented designs. The dossier records **10+ CATL actions cumulatively claiming >RMB 240M, a partial equity freeze on the controlling shareholder's vehicle** (Feb 2026 to Feb 2029), and a September 2023 arbitration finding that Wu breached his CATL non-compete (RMB 1M in liquidated damages).

Handling rules, in priority order. (1) **Never raise this.** There is no version of you bringing it up that helps you. (2) If he raises it, one neutral sentence — it is active litigation, it is disclosed in the filings, and it is a matter for counsel — then move to what a buyer can verify. (3) **Do not mention the reported detention of an executive, or the equity freeze.** Those details appear only in hostile coverage, and repeating them signals which sources you have been reading. (4) Be aware that **organized opposition coverage exists**, including a dedicated website campaigning against the listing and trade-press pieces framing the IPO as a bailout built on omission. I could not verify who is behind that campaign — treat it as evidence that this company has motivated critics, know it so you are not blindsided, and **do not cite any of it.**

Recent activity (newest first)

The pattern to notice — and it is the single best observation available to you. The commercial momentum is relentless and genuinely global: Saudi Arabia, Ukraine, Bulgaria, Spain, Australia, Vietnam, wider Asia-Pacific. **Almost none of the marquee wins are in North America.** The US names in the record — Jupiter Power, Lightsource bp, Samsung C&T — come from the prospectus customer list, not from announced flagship projects in the last eighteen months. So the plant is in Texas and the trophies are everywhere else. *That gap is the job.*

DATE	EVENT	READ
2026-07-28	Statkraft — 6× ∞Block 5.016 MWh (30.1 MWh) for the Montes de Cierzo wind farm, Navarre, Spain	Small in MWh, large in signal: a marquee European utility adopting the block in the region of the future factory
2026-07-28	FCC adds foreign-produced connected power inverters to the Covered List	Same date, different problem — and mostly someone else's. See the regulatory stack
2026-06-26	366 MWh with Turbo Energy for 15 European industrial sites; 21× 6.25 MWh containers already delivered	The 6.25 MWh block landing in mid-size European projects, not only giga-tenders
2026-06-03	SNEC 2026 — ∞Power 6.9 MWh 8-hour system, ∞Cell 650 Ah, ∞Power 10+ MWh, and a 1 GWh Vietnam agreement with DSS Solar	The portfolio strategy stated out loud: a cell ladder feeding ever-bigger blocks, with 8-hour as the differentiated tier
2026-05-25	Australian debut of the 8-hour system in Sydney	LDES-native product meeting LDES-mandating policy — NSW targets 28 GWh by 2033
2026-04	Second HKEX application lapsed	Third failed listing attempt. FY2025 financials were never filed
2026-03-31	3 GWh APAC LDES framework with Brawn Capital to 2030, including Flexsso (first 300 MWh in 2027)	Channel via an investor-partner rather than a developer; first big validation of Flexsso
2026-03-11	€400M cell + BESS gigafactory committed in Navarre, Spain (JV with Sodena, €81M grant, target 2027)	First European <i>cell</i> commitment — EU Battery Regulation alignment and content-rule insulation
2026-02-20	Supreme Court strikes down the IEEPA tariffs	Reshuffled the US import-cost stack mid-year. Reason to hedge any total tariff figure

DATE	EVENT	READ
2026-02-10	2 GWh to Ukraine via KNESS Group , deliveries from Q1 2026	Grid reconstruction is a real LDES segment few Western competitors serve at scale
2026-02-09	InfoLink 2025: global Top 2 in both total and utility-scale ESS cell shipments	The credential that gets you onto giga-tender shortlists
2026-01-12	Reliance Industries' India cell plan halted after the Hithium licensing deal collapsed under tightened Chinese export controls	Licensing as an expansion channel is closed for now — and that is Beijing's doing, not Washington's
2026-01-01	FEOC rules effective for 2026 construction starts; Section 301 on non-EV lithium-ion 7.5% → 25%	The day the US market changed. Everything about this role dates from here
2025-08-28	First shipments from Mesquite, Texas (grand opening had been 28 May 2025)	US assembly live — the answer to tariffs, and a partial answer at best to FEOC
2025-08-27	4 GWh Saudi Electricity Company LDES (Tabuk + Hail, with Alfanar; ~RMB 2.6B; 1175 Ah in 6.25 MWh containers; commissioning targeted 2026)	The kAh cell's flagship proof point — national-utility scale, hot climate, long-term O&M attached
2025-08	Cumulative shipments pass 100 GWh	Six years from founding

The hard questions

The winning move is the same every time: **name the real difficulty, then show you understand why the company chose what it chose.** Do not be a cheerleader. He knows these numbers better than you ever will, and a candidate who flinches from the hard version of the story is a candidate who will flinch in front of a customer.

"What's your read on our position in the US market right now?" — The honest structure: the product is strong and the policy is against it. Top-2 global scale, a certification portfolio that clears US code, a plant in Texas shipping since August 2025, and prospectus customers like Jupiter Power and Lightsource bp — that is not a company with an awareness problem. What changed on 1 January is that Chinese cell content stopped being a cost advantage and started being a financing risk, because a developer failing the material-assistance ratio loses the whole ITC. So the constraint isn't demand or credibility; it's that the buying decision moved from procurement to tax counsel. Then the sharp bit: almost every flagship win in the last eighteen months is outside North America, which reads either as deliberate sequencing toward duration-mandating markets or as the US being genuinely hard right now — and you'd want to know which he thinks it is.

"Tesla will be manufacturing Megapack domestically from late 2026. How would you sell against that?" — Do not pretend it isn't a problem. A US-manufactured integrated system clears the FEOC math without any structural work; that is a real, durable advantage on ITC-driven projects. Three responses. **Segment away from the collision:** safe-harboured and pre-2026 construction-start projects are outside material assistance entirely, and augmentation and expansion of existing fleets is a large ITC-safe pool. **Compete where they don't:** nothing in Tesla's catalogue is 8-hour-native, and there is no kAh-class alternative. **Then be honest** that the medium-term answer isn't a sales tactic, it's US cell production or a compliant structure — which is a strategy question for him, not a pitch from you.

"We're private and we've failed to list three times. Does that worry you?" — Answer as a seller, not an investor. It worries *customers*, which makes it your problem: a twenty-year warranty is only as good as the entity standing behind it, and lenders and insurers price that. So the useful question isn't whether the listings failed, it's what the company can put in front of a buyer instead — shipment scale, cash generation (H1 2025 operating cash flow above RMB 1B), and

whatever warranty-backstop or insurance structure exists. Then the analytical point: three failed attempts against a capex-heavy expansion means **financing capacity, not demand, is the binding constraint** — and Spain and any US cell capacity are exactly what a listing was meant to fund. So the financing problem and the FEOC problem are the same problem seen from two ends.

"What worries you about us?" — A real answer, calmly delivered, is a strength. Three candidates. **Concentration of the hard news in one place:** FY2025 financials were never published, so the most recent full picture available to a customer's credit team is FY2024 — where profit depended on RMB 414M of subsidies. **Merchant-channel fragility:** Powin was a cell customer and went bankrupt. **The licensing bind:** the structural fix for FEOC is a compliant local production arrangement, and the Reliance deal showed that Chinese export controls now constrain exactly that. Frame all three as things you'd want to understand, not accusations.

"You sent us something about the FCC inverter rule. What's your actual read?" — Assume this may come up, since you emailed it to Rumman Kabir on 12 August. Go a level deeper than the headline: it is a **two-prong** test — a bi-directional inverter *and* wireless connectivity — and it is an **origin** test rather than a China test, because "foreign-produced" means failing Buy America's 65% US-content threshold. Then the Hithium-specific read: DC blocks ship without a PCS, so the conversion prong isn't met on a plain reading; the residential line with integrated inverters is where it actually bites; and it is prospective only, so previously authorized models are fine. Close on the second-order effect — our customers' PCS options just narrowed, so it's worth bringing to developers proactively. **And label it as your read**, because no source addresses DC-block supply directly.

"How would you open a US developer or integrator account for us, cold?" — The wrong answer is a pitch; the right answer is a sequence. Qualify on **compliance posture before product fit:** has this project safe-harboured, when does construction start, is it chasing the ITC at all? That single question sorts your pipeline into winnable and unwinnable faster than anything else. Then find the person who owns the tax position, not just the engineer — because that is where the deal dies. Lead with the specs that convert into money (cycle life as augmentation capex avoided). Make the first ask small: one tranche, one block, a limited qualification. And use Mesquite early — a plant a customer can drive to answers "can you support us here" with a place rather than a promise.

"What would your first ninety days look like?" — Concrete and modest. Segment the pipeline by compliance posture rather than by geography, because that is now the real axis. Learn exactly what Mesquite can and cannot claim in a material-assistance calculation, since that bounds every promise you make. Find out which prospectus relationships — Jupiter Power, Lightsource bp, Samsung C&T — are live versus historical. Build a relationship with one tax-equity-side adviser, because you will need a translator. Then say the honest thing: with qualification cycles this long, ninety days produces qualified pipeline and a compliance playbook, not revenue — and you'd want to agree upfront which leading indicators you'll both judge it by.

Say / don't say

SAY	DON'T SAY
"Since January the argument stopped being cost per kilowatt-hour and started being whether the project can be financed."	"We're cheaper than Tesla." True and irrelevant — a lost ITC swamps the cell price delta
"You're Top 2 globally in ESS cell shipments and the only mass producer above 1,000 amp-hours."	"You're number one." You aren't; CATL is, and he knows the rankings by heart
"My read is US assembly doesn't automatically clear the material-assistance test — that's a question for tax counsel."	"The Texas plant makes us FEOC-compliant." Overclaiming a tax outcome is the fastest way to lose a technical audience
"The 314 actually has the best cycle rating in the range — the big cells win on system-level assembly and reliability, not on cycles."	"Bigger cells are just better." He'll know instantly you read a brochure

SAY	DON'T SAY
"FY2024 profit included about RMB 414M of subsidies, so I read FY2024 as the year the model turned, not the year it was proven."	"You've been profitable since 2024." Technically true, materially misleading, and it's in the filings
Nothing at all about the CATL litigation.	Any version of "so what's happening with the CATL lawsuit?"

Questions worth asking them

With a business president the bar is the **business**, not the company. Pick three or four; do not run the list.

The one that will be remembered

"You built Sungrow's North American business before this. What did you learn there about getting a Chinese-origin product qualified by American buyers that you're applying here — and how much of that playbook still works now that FEOC exists?"

It is warm rather than adversarial, it assumes competence, it is specific to him in a way no generic candidate could manage, and whatever he says is the single most useful thing you could possibly learn before day one. If you ask only one question, ask this.

About the compliance crux

1. **"Where does Mesquite actually land in a material-assistance calculation today — and is US cell production on the roadmap or off it?"** — The commercial heart of the role. His answer tells you whether you'd be selling into the ITC market or around it.
2. **"How do we answer the twenty-year warranty question for a lender — is there a backstop or insurance structure, or is it balance-sheet only?"** — Sophisticated, and it is the objection you'd hear most.

About the territory

1. **"Almost every flagship win in the last eighteen months is outside North America while the plant is in Texas. Is that deliberate sequencing, or is the US just hard right now?"** — Shows you read the record rather than the summary, and invites an honest answer.
2. **"Do we lead with cells to integrators or with our own DC blocks — and when those two collide inside one account, who wins?"** — The channel-conflict question. He crossed that exact line personally, so he will have a real view.
3. **"The 1300 amp-hour cell and the 6.9 megawatt-hour system land in Q4. Is North America an early market for eight-hour duration, or is that Australia and the Gulf first?"** — Defines what you'd actually be selling next year.

About the desk

1. **"What does applications and pre-sales engineering look like in-region — and does Mesquite do customer validation, or only assembly?"** — In a technical qualification sale this is the difference between a workable territory and an impossible one.
2. **"How is the desk structured — do I own accounts end to end across both the cell and system businesses, or is it split?"** — Practical, and it shows you know the dual model has a seam in it.

The bold one — use only if the conversation is going well

1. "Tesla starts building Megapack domestically late this year. How do you think about competing for ITC-driven projects against a US-manufactured integrated product?" — Highest risk, highest reward. It names the real threat rather than the obvious one. Ask it as genuine curiosity about strategy, never as a challenge, and only once you've earned the standing to.

Vocabulary

TERM	MEANING
LFP	Lithium iron phosphate — the storage-standard cathode chemistry: cheaper, safer and longer-cycling than nickel chemistries, at lower energy density. Fine for stationary storage, where weight barely matters
Prismatic	A cell in a rigid rectangular can (versus cylindrical or pouch). Packs efficiently into modules; the format all of Hithium's large cells use
kAh-class	A cell rated at 1,000 amp-hours or more. Hithium's 1175 Ah was the first in mass production, and no rival has matched it
NFPP	Sodium iron pyrophosphate — the cathode in Hithium's sodium-ion cell
DC block vs AC block	A DC block is batteries + BMS + thermal management in a container, delivering DC — the buyer supplies the PCS. An AC block includes the PCS and delivers grid-ready AC. Hithium sells DC blocks; Sungrow and Tesla sell AC-side integrated systems. This distinction drives Hithium's FCC exposure and its channel strategy
PCS	Power conversion system — the bi-directional inverter between the DC battery and the AC grid
EMS / BMS	Energy management system (dispatch and market logic) / battery management system (cell-level protection and balancing)
RTE	Round-trip efficiency — energy out ÷ energy in. ~95% DC is current best practice; every lost point is revenue
Cycle life	Charge/discharge cycles to a defined capacity retention. 13,000 cycles at one cycle a day is over 35 years — which is why cycle life converts into <i>augmentation</i> rather than lifespan
Augmentation	Adding cells later to restore a degraded system's rated capacity. A capex line in the project model, and the thing high cycle life eliminates
Capacity guarantee	The supplier's warranted retention schedule — conventionally 70% of original capacity at year ten, or at a stated number of equivalent full cycles. The year-by-year table, not the headline cycle count, is what a financial model consumes
Warranty provision / reserve	On the seller's books, the accrued estimated liability for honouring future warranty claims — a charge against gross margin. On the buyer's side, the discount a lender or independent engineer applies to a warranty whose counterparty they doubt, plus the cost of any mitigant (parent guarantee, letter of credit, escrow, warranty insurance) required to close the gap
DoD / C-rate	Depth of discharge (how far a cell is emptied) / charge-discharge rate relative to capacity. A 4-hour system runs 0.25C
LDES / duration	Long-duration energy storage. "Duration" is hours at rated power — 2h, 4h, 8h. Some jurisdictions now <i>mandate</i> it (NSW: 28 GWh by 2033)
ITC / 48E	The federal investment tax credit for clean-energy property, 30–40% of eligible cost — the economics of most US storage projects
45X	The production tax credit for US-made components: ~US\$35/kWh for cells, ~US\$10/kWh for modules

TERM	MEANING
Domestic content adder	A 10% bonus on the ITC for meeting US-content thresholds
FEOC / PFE	Foreign entity of concern / prohibited foreign entity — the OBBBA regime restricting tax-credit eligibility for supply chains tied to China, Russia, Iran and North Korea
MACR	Material assistance cost ratio — $(A - B) \div A$, the share of project equipment cost <i>not</i> from prohibited entities. Storage needs $\geq 55\%$ for 2026 construction starts, $\geq 75\%$ from 2030
Safe harbour / beginning of construction	Tax rules fixing which year's requirements apply. Projects that began construction in 2025 or earlier are outside material assistance — which makes them Hithium's cleanest addressable market
Section 301 / Section 122	The China-specific tariff programme (non-EV lithium-ion went 7.5% → 25% on 1 Jan 2026) / the flat 10% surcharge in the live stack after the Supreme Court struck the IEEPA tariffs in February 2026
UL 9540 / UL 9540A / UL 1973 / NFPA 855	The US safety and code stack: system certification / thermal-runaway fire-propagation test / battery-module standard / the installation fire code. Missing any of these is a hard stop in US procurement
Bankability	Whether lenders, insurers and independent engineers accept a vendor. Third-party determined, slow to earn, and the real gate on a private Chinese supplier
Tax equity / IE	The investor monetizing the tax credits (and the party whose counsel can veto your supply) / independent engineer, the technical reviewer signing off for lenders
IPP / EPC	Independent power producer (owns and operates the project) / engineering, procurement and construction contractor (builds it)

Eleven-question self-test

Answer out loud before checking. Recall is what makes it stick.

1. What is Hithium's founding premise, and how does it differ from CATL's or BYD's position?
2. Why does a bigger cell make a better system — and what is the counterargument?
3. Which cell in the range has the highest cycle rating, and why is that worth knowing?
4. What is the material assistance cost ratio, what does a 2026 storage project need to clear, and what happens if it fails?
5. Why is "we assemble in Texas" not a complete answer to FEOC?
6. Which parts of Hithium's catalogue are exposed to the July 2026 FCC action, and which are not — and why?
7. What did FY2024's first net profit actually depend on?
8. How many times has Hithium tried to go public, and what is the consequence for a customer's credit team?
9. Who is the sharpest competitive threat to Hithium's US book, and why is it not CATL?
10. Where did Mizhi Zhang work before Hithium, and what are the two biggest implications for how you run this conversation?
11. Cycle life converts into two numbers in a buyer's financial model. Name both — and say which one the cell itself cannot help with.

ANSWERS

1. Founded December 2019 to build cells **purpose-designed for stationary storage** rather than repurposing EV cells. As a stationary-only specialist it has no EV programme to allocate capacity to — so storage customers are never second in the queue, which is a promise CATL, BYD and EVE structurally cannot make.
2. Fewer cells per megawatt-hour means fewer welds, busbar connections and sensing channels — less assembly labour and fewer failure points — and it is what makes a 6.9 MWh twenty-foot container physically possible. The counterargument: more energy in a single can means a worse single-cell failure, and less field history than the mainstream 314 Ah format.
3. The **314 Ah**, at $\geq 13,000$ cycles — above the 587 Ah and 1175 Ah ($\geq 11,000$) and the 1300 Ah ($\geq 10,000$). It matters because it proves you understand the big-cell case is a *system-level* argument about assembly and reliability, not a spec-sheet claim about cycles.
4. $(A - B) \div A$, where A is direct cost of all project equipment and B is the cost of equipment from prohibited foreign entities. A storage project beginning construction in 2026 must clear **$\geq 55\%$ non-PFE**, rising to $\geq 75\%$ for 2030 starts. Failing forfeits **the entire 30–40% ITC**, not a portion of it.
5. Because the test turns on **who supplied the value**, not where the box was assembled — the cells are still made in China, and trade press in February 2026 made the point explicitly that "Made in the USA" batteries can still fail FEOC. The emerging structural fix is a JV or licensing arrangement in which a non-prohibited US entity owns the production — and Hithium's licensing channel is currently constrained by Chinese export controls, as the collapsed Reliance deal showed.
6. **Exposed:** the residential and portable line (HeroEE LIGHT 1, MaxPower 8 AIO, ARKVOLT wall units) — hybrid battery-based inverters with wireless connectivity, so both prongs are plausibly met. **Not exposed on a plain reading:** cells (no conversion) and the utility DC blocks (they ship without a PCS, so the conversion prong isn't met). Label this as your read — no source addresses DC-block supply directly.
7. **RMB 414M of government subsidies**, against reported net profit of ~RMB 288–318M — so ex-subsidy it was roughly a RMB 126M operating loss. FY2024 is better read as the year the model turned than the year it was proven.
8. **Three times** — an A-share attempt withdrawn in 2023 and two HKEX applications that lapsed in September 2025 and April 2026. The consequence: **FY2025 financials were never published**, so the most recent complete picture available to a customer's credit or lending team is FY2024 — which is the subsidy-dependent one.
9. **Tesla**, building Megapack domestically from late 2026: a US-manufactured integrated system that clears the FEOC math with no structural gymnastics, competing directly for the ITC-driven projects where Hithium is most constrained. CATL is the benchmark on specs, but it faces the same origin problem Hithium does.
10. He was **CEO of Sungrow North America**, and before that managing director of the Americas energy-storage business at the Sungrow–Samsung SDI joint venture. Implications: (a) he has already run and won the playbook you'd be hired to execute, so do not explain the China objection to him — ask how he beat it; (b) he crossed from the integrator/PCS side to the cell side, so he thinks like the buyer of cells and speaks the language of bankability, warranty exposure and augmentation math. And do not attack Sungrow.
11. **(1) Augmentation capex avoided** — a flat delivery obligation against a decaying asset forces either 15–20% day-one oversizing or capacity tranches around years six to eleven, and a better warranted curve defers or eliminates them; Lazard-style models reserve roughly 3% of equipment cost per year for this. **(2) The warranty reserve** — a provision against gross margin on the seller's books, and on the buyer's side the discount lenders and independent engineers apply to a warranty whose counterparty they doubt, plus the cost of any mitigant. **The cell cannot help with the second one** — that turns on Hithium's balance sheet, not its electrochemistry, which is why the backstop-or-insurance question is on the list.